Offer vs Invitation to Offer

Business Laws and Ethics

who is making the offer?

In simple words An offer can be accepted to make a contract. An invitation only asks people to come forward with offers.

1 Offer (Proposal)

A person shows willingness to do or not do something, to get the other party's assent. Acceptance of it makes a promise.

Intention to be bound is the test

2 Invitation to offer

A step that only invites others to make an offer. It does not bind the person who invites.

Acceptance of it makes no contract

1. Offer + acceptance = agreement. Invitation + offer = still no agreement until accepted.
2. Price tags, price lists, catalogues and tender notices are invitations to offer.
3. At an auction, the announcement invites offers. The bid is the offer, accepted by fall of hammer.
4. An advertisement promising a reward to anyone who performs a condition is a general offer (Carlill case).



Swipe for the summary →

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Offer vs Invitation

Offer vs Invitation to Offer

spot the difference fast!

Point	Offer	Invitation to offer
Intention	Willing to be bound on acceptance	Only invites others to make offers
Effect of assent	Acceptance makes a contract	Assent gives only an offer
Examples	Bid; reward advertisement	Price tag, catalogue, tender notice
Auction	The bid	The auctioneer's announcement

Display invites, bid or buyer offers! In an invitation, the other side makes the offer and the inviter decides whether to accept it.

Swipe for a memory trick →

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STUDY TRICK

Offer vs Invitation to Offer

door opens, bell rings!

DISPLAY = DOOR, BID = BELL

A display or notice only opens the door for customers. The bid, the bell the customer rings, is the real offer. The reward advertisement is the exception: it is an offer.

HOW TO ATTEMPT IT

1 Find who shows willingness to be bound →

2 Check for a price list, catalogue or tender → 3 If yes, it is an invitation to offer

→ 4 Find the other side's offer, then acceptance →

5 Check for a reward ad (general offer)

EXAM TIP

In an MCQ, look for the words price list, catalogue, tender notice or auction announcement. They point to an invitation to offer.

DOUBT BUSTER

Goods with a price tag in a shop window: is that an offer? No. It is an invitation to offer. The customer offers to buy at the counter, and the shopkeeper may accept or refuse.

Swipe for common mistakes →

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COMMON MISTAKES

Offer vs Invitation to Offer

don't fall for the ad trap!

✗ A tender notice is an offer, so bidders can sue on it

✓ A tender notice is an invitation. The bidder's tender is the offer, and the contract forms when it is accepted.

✗ Every advertisement is only an invitation to offer

✓ An advertisement promising a reward for a condition is a general offer, as in Carlill v. Carbolic Smoke Ball Co.

✗ The auctioneer's announcement is the offer; the bid is acceptance

✓ The announcement invites offers. The bidder makes the offer and the auctioneer accepts it by fall of hammer.

✗ A shopkeeper must sell goods once the price tag is shown

✓ The tag is an invitation. The shopkeeper can refuse the customer's offer to buy.

TOMORROW'S CMA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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